

Workers' Compensation Classification Rules

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Workers' compensation classification codes are assigned based on the duties an employee actually performs, not the industry of the business as a whole. Clerical staff working exclusively in an office setting, physically separated from operations, are classified separately from field or shop employees even within the same business. An employee who splits time between a lower-hazard clerical role and a higher-hazard operational role, such as a warehouse supervisor who also drives a forklift, is classified under the higher-hazard code for their entire payroll unless payroll records clearly separate the hours worked in each role. Owners and officers may be excluded from coverage in most states if they file the appropriate exclusion form. Experience modification factors are recalculated annually using the insured's three most recent completed policy years of loss and payroll data, excluding the most recent expiring term. Premium audits are conducted within 90 days of policy expiration and may be performed remotely for accounts with annual premium under \$25,000. Payroll records must separate overtime pay from regular pay, since only straight-time wages are included in the audit exposure base. Employee leasing arrangements require the client company to provide a certificate of insurance from the leasing company confirming coverage is in force for the leased employees. Volunteer workers are not automatically covered under the policy and require a separate endorsement naming the volunteer program. Multi-state operations require an endorsement listing every state where the insured has employees, since classification codes and rates are filed separately in each state and a code approved in one state may not be recognized in another. Employees who work partly offshore or on navigable waters may fall under the United States Longshore and Harbor Workers' Compensation Act or the Jones Act instead of state workers' compensation law, and must be underwritten on a maritime endorsement rather than the standard policy. Out-of-state travel exceeding 90 consecutive days for a single employee requires notice to underwriting so the correct state of primary employment can be confirmed. Temporary staffing agency workers assigned to the insured's worksite are excluded from the insured's own policy and must be covered under the staffing agency's own workers' compensation program. Independent contractors are presumed to be employees for classification purposes unless the insured maintains signed contracts and certificates of insurance proving independent contractor status for each one. Return-to-work programs must be documented in writing and offered to any injured employee before temporary total disability benefits begin; carriers may reduce the wage-loss reserve on a claim if the insured can demonstrate a bona fide light-duty position was refused. Drug-free workplace credits are available in states that recognize them, but require the insured to maintain a written policy and conduct post-accident testing within 24 hours of any reportable injury. Safety group and dividend program participation requires the insured to maintain a loss ratio below 60 percent for three consecutive years and to attend at least one annual safety training session. Subrogation rights against a third party responsible for an employee's injury are preserved only if the insured notifies the carrier of the potential third-party claim within 10 business days of the incident. Second-injury fund reimbursement claims, where available by state, must be filed within the statutory deadline or the credit against future experience modification is forfeited. Construction classification rules require that any employee spending

more than 20 percent of their time on roofing, scaffolding, or work above 15 feet be coded under the applicable construction classification regardless of their job title. Owner-operators in the trucking industry are classified based on radius of operation, with long-haul drivers traveling beyond a 200-mile radius rated separately from local delivery drivers. Domestic workers, including full-time housekeepers and in-home caregivers, require a residential classification that is filed separately from commercial classes and is not eligible under this manual's standard programs. Executive officers who perform manual labor alongside their supervisory duties must be classified according to the manual labor performed, not their officer title, for any policy period in which manual duties exceed occasional and incidental involvement. Wrap-up and owner-controlled insurance programs on large construction projects require a separate classification review for every subcontractor enrolled, since a single project-wide code is not permitted under this manual.